

Course: F514 Finance and Society

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Topic: Case Study on Gender Pay Gap

Introduction

The gender pay gap has persisted despite the U.S. government passing numerous laws banning discriminatory practices against women in the workplace and despite an increase in the number of women entering the workforce. In the United States, on average, women who have full-time employment receive approximately \$0.83 for each dollar that men receive (Equal Pay Today, 2024). Further, the gap is even larger for women of color and is significantly greater among those earning higher incomes. The apparent difference in gender-based pay makes it an easy target for a simplistic conclusion of "women are discriminated against in the workplace". However, the root causes of the gender pay gap are more complex and stem from structural factors.

The authors of *Gender Inequality: Why Are Women Paid Less than Men?*, Bennedsen, Roulet, Stabile, and Henry, note that the gender pay gap is primarily a function of several structural factors including, but not limited to, occupational sorting, non-linear returns to hours of work, institutional promotion systems, and motherhood penalties (Bennedsen et al., 2024). The authors' framework provides a much-needed shift from debating whether women are being paid less for performing the same tasks to examining how labor markets reward career paths.

From a Finance and Society perspective, continued gender inequality represents more than just social injustices. It also indicates distortions in how human capital is allocated and rewarded. Markets that continue to systematically misallocate talent cannot be viewed as fully functional. As a woman seeking to pursue a career in finance, a field where compensation structures will amplify any differences present in the early stages of one's career into large differential earnings gaps, this analysis is not theoretical; it is structural, institutional, and urgent.

What drives the gender pay gap?

a. Occupational Sorting

One of the largest contributors to the gender pay gap is that, statistically, men and women tend to work in different occupations. Men dominate jobs in finance, engineering, and technology with high wage ceilings and performance-based compensation, while women are predominantly employed in education, health care support, and administration (Institute for Women's Policy Research [IWPR], 2023).

Further evidence supporting this trend was provided in a report by The Economist (2017) using data collected by Korn Ferry, which covered 8.7 million employees around the world. Reporting by The

Economist found that pay differences within lower-tier roles were comparable in terms of task, experience, and education, and were generally quite small. However, the difference grew substantially at the upper end of the job hierarchy. Meaning, inequality was greatest where pay included elements of negotiation-based contracts, equity participation, and discretionary bonuses.

This distinction is important. It shows how the gender pay gap is not evenly distributed throughout the wage structure. The gender pay gap is greatest at the upper end of the wage distribution, where pay is least standardized and most influenced by the degree of negotiation, sponsorship, and ability to access elite positions (The Economist, 2017).

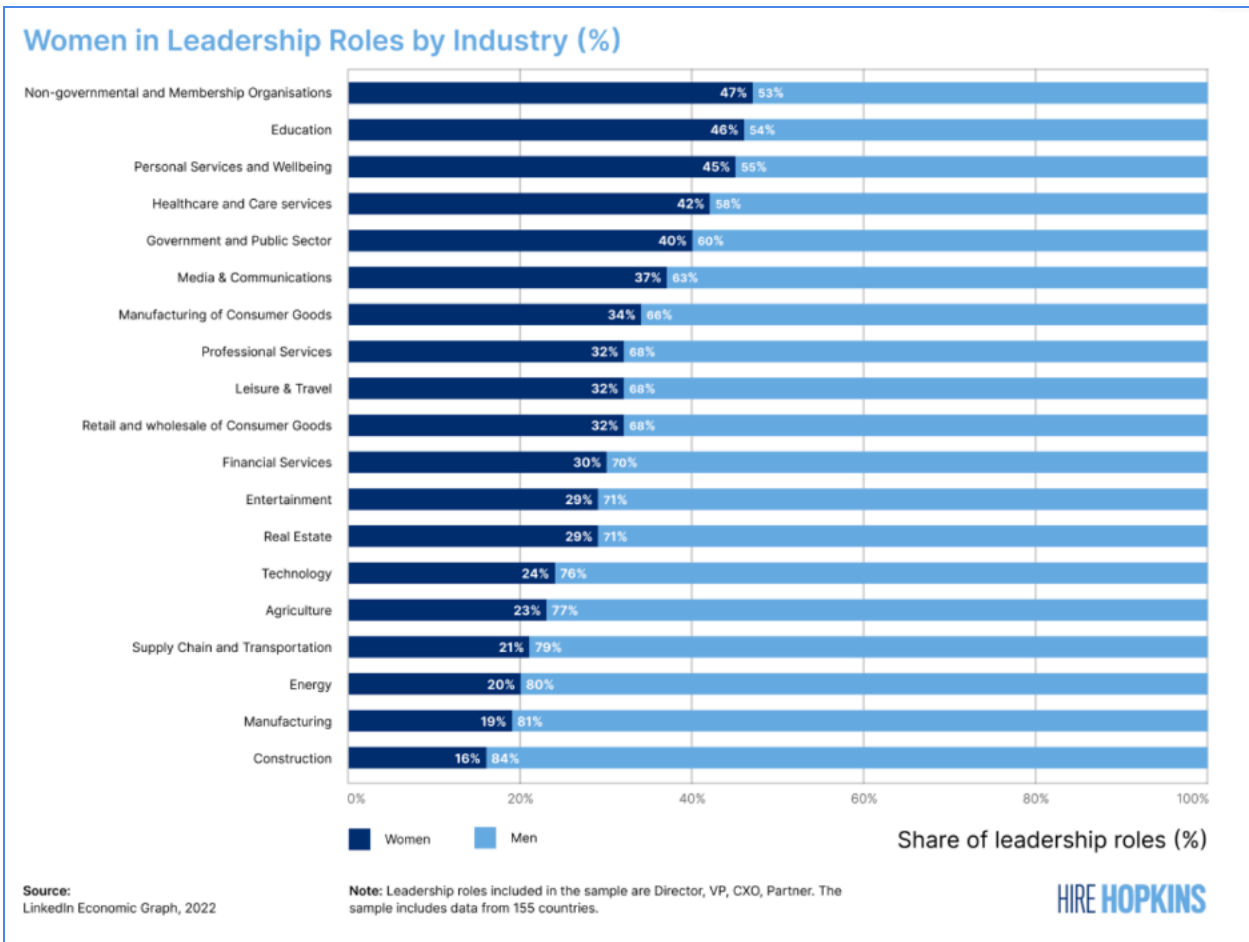
Therefore, the issue becomes not simply determining if women are paid equally for the same tasks, but whether women have equal opportunity to perform the tasks that provide the highest level of compensation. Below is a quick snapshot from 2022 to show how the gender presence in various industries differs.

b. Within-occupation differences

Even when comparing women and men working in similar occupations, there are still differences in the way that they are compensated. Bennedsen et al. (2024) report that when occupational and educational factors are controlled for, the pay gap does close, but never completely disappears. Compensating employees for their availability, client-facing interactions, and uninterrupted career progression creates this persistent pay gap.

As reported by the University of Virginia Darden School of Business (2024), many performance evaluations reward visibility and "face time," which correlates to continuously working long hours. Therefore, this creates a disadvantage for caregivers.

Finance is a good example of the type of compensation structure that rewards availability as opposed to pure productivity. Bonuses that are linked to deal volume or revenue production create convex returns to hours worked. Working 60 hours per week may result in much higher compensation than working 40 hours per week, not because productivity increases in proportion to hours worked, but because compensation formulas exaggerate marginal availability. Hence, when compensation structures reward time flexibility as opposed to pure productivity, inequality is built into the design of the compensation system.



Why do more women find themselves in lower-paying occupations?

a. Pipeline effects and early sorting

Career paths for women are determined socially long before they decide to enter the workforce. Women are underrepresented in both quantitative finance and investment roles, even though they represent half of all students enrolled in business schools (Bennedsen et al., 2024). Expectations about careers, lack of mentors, and anticipation of future work/family tradeoffs are determinants of specialization decisions.

These early differences then compound through occupational sorting. According to IWPR (2023), women are more likely to work part-time and to cluster in roles that offer predictable schedules but lower wage ceilings.

b. Undervaluing care work

Caregiving-intensive roles are dominated by females, such as teaching, nursing, and social services, contribute significantly to society's well-being but have lower financial returns. From a financial perspective, this raises a valuation problem: are markets correctly valuing social contributions? If compensation systems consistently undervalue caregiving-intensive roles, the pay gap reflects not only discrimination but structural market priorities.

What Causes Men to Have More Opportunities to Work in Better-Paid Jobs?

The Economist analyzed job market data in 2017 and found that the difference in salaries between genders at a specific level of work was relatively low; however, the difference grew much larger at higher levels of employment (Economist, 2017). According to the authors, this is due to barriers to advancement and not just the salary at hire.

High-visibility assignments and sponsorship opportunities are used to advance employees through their careers. However, studies referenced in a NIH-hosted article (2024) show that women receive fewer high-visibility assignments and sponsorships than do men, regardless of how well they perform. In finance, obtaining clients and gaining access to deals and other resources are critical to moving up the corporate ladder. Therefore, being excluded from sponsorship networks in finance makes it even harder for women to move up the corporate ladder.

Another major area of gap and/or bias is in negotiating salary. Salary negotiations tend to be based on discretion rather than standardization, particularly at higher levels of employment. As stated by The Economist (2017), studies suggest that women who negotiate salary tend to be viewed negatively, whereas men tend to be viewed positively. Therefore, even a slight disadvantage in negotiating salary could result in several thousand dollars lost in income over the course of a career.

Furthermore, senior positions typically require extensive travel, irregular hours, and relocation to different parts of the country. Women, who continue to carry more of the burden of caring for children, may find it difficult to meet some of the requirements of executive track positions (IWPR, 2023). This bias is built into human thinking and now made its way to statistical evidence; a change in the numbers is impossible without a much-needed change in our thinking that men, too, are capable of taking on the caregiving responsibilities, and society must not box women in this stereotype. As shown by Equal Pay Today (2024), the disparity in salary widens greatly as salaries rise, further indicating that inequality grows along the executive pipeline.

The Motherhood Penalty

The motherhood penalty refers to the decrease in women's salaries following childbirth compared to men and women without children. According to Bennedsen et al. (2024), childbirth is the point at which the rate of increase in women's salaries begins to slow down.

Studies reviewed by The Economist (2015) highlight the research done by Claudia Goldin regarding the relationship between the number of hours that employees spend working and the amount of money that they earn. Goldin found that the occupations with the steepest rewards for continuous "face time" had the largest gender pay gaps. Additionally, she found that the loss of only 18 months of work time resulted in a loss of 41% in MBA graduate earnings and a loss of nearly 30% in lawyer earnings.

If we look at pharmacists, however, whose pay is not related to the number of hours that they work, they have a very small gender-based pay gap (The Economist, 2015). This study provides insight into the relationship between non-linear pay structures and gender-based pay inequality. Specifically, when pay structures are structured in a linear and modular fashion, gender-based inequality is reduced.

Finance, however, is non-linear in its structure. Early career differences are amplified by bonuses, carried interest, and equity compensation. Missing a promotion cycle or a bonus opportunity will also impact an individual's ability to accumulate wealth over their lifetime. To a capital markets analyst, the motherhood penalty is not simply a drop in wages resulting from taking time off to care for a newborn; rather, it represents a break in the compounding of overall wealth.

How Can Senior Executives Promote Equal Participation?

Although there are limitations to achieving equal participation, given that gender inequality is evidently rooted in behavioral bias, here are a few ways of structural reform that can be applied.

1. Create Linear Compensation Systems

Redesigning the formula for calculating bonuses so that there is less extreme convexity will help reduce the penalty for employees who have taken time off for family reasons. The challenge, however, is that the current compensation model for finance is deeply ingrained and closely tied to the way firms attribute revenue. Hence, redefining the KPIs could take years if not months.

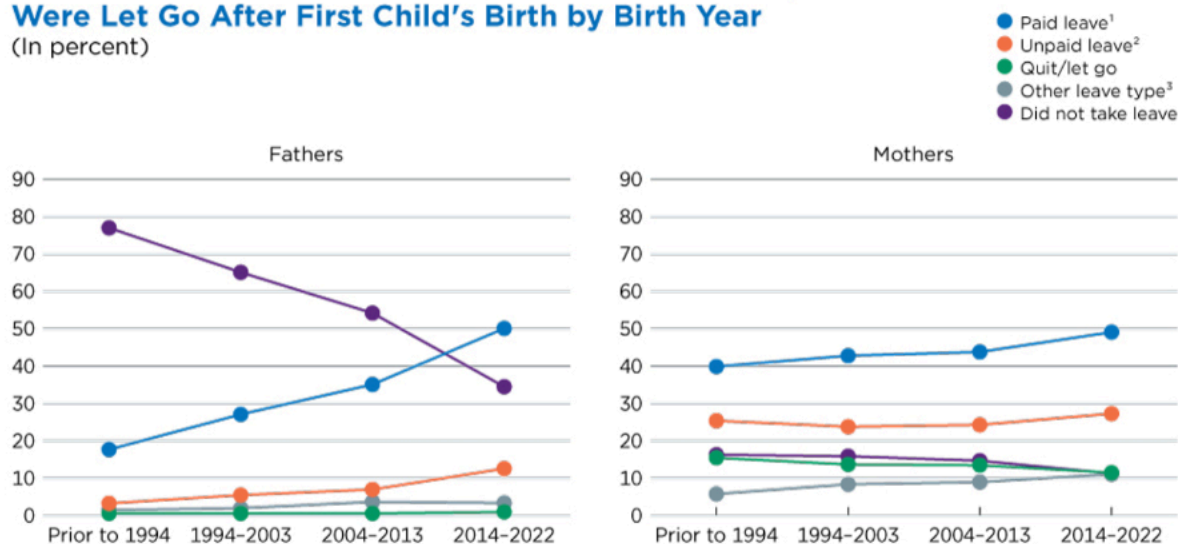
2. Increase Transparency

Conducting pay equity audits and disclosing data related to promotions will help identify areas of disparity. Although this might result in companies receiving negative publicity and potential lawsuits, a governmental reform to put a mandate will likely result in the companies addressing this early on, before the data is released each year.

3. Normalize Paternal Leave

Although over the years, we have seen a significant change in how employees leaves are structured for both male and female employees to account for parental care, there still is a cultural stigma associated with taking parental leave that is rooted in the idea that women are the more nurturing type. The graph below shows how the number of fathers receiving paid leaves have been increasing over time; however, the number of days allocated to these leaves is still questionable, and forcing new fathers to use up unpaid leave (Hernandez and Kreider, 2025). Reforming the allocated leave structures for men will allow more fathers to take parental leave, and hence, will help reduce the expectation that only women take care of the children.

Figure 2.
Share of U.S. Parents Who Used/Did Not Use Leave, Quit or Were Let Go After First Child's Birth by Birth Year
(In percent)



Note: Includes parents who worked before the birth of their first biological child.

¹ Paid leave includes paid maternity/paternity leave, paid sick leave, and paid vacation leave.

² Unpaid leave includes unpaid maternity or paternity leave and unpaid sick leave.

³ Other leave type includes disability leave or some other kind of leave.

Source: U.S. Census Bureau, 2022 Survey of Income and Program Participation, public-use file.

4. Develop Formal Sponsorship Programs

Providing women with formal access to high-impact assignments will help address pipeline equality. These programs should be designed in such a way that providing sponsorship programs to women is not perceived as providing an unfair advantage to the gender. Targeting the larger population of women who face the motherhood penalty will likely reduce the allegation of this being anything but unfair treatment based on gender.

5. Link Diversity to Executive Incentives

Linking executive compensation to the diversity of employees in the company will align incentives with goals. The company's efforts on diversity and inclusivity should be standardized across all businesses. This is another area where we will need the government to stop acting as minimal referees but actively participate in reforms through stricter rules and regulations in the workforce.

Finance and Society: A Market Failure

If markets allocate labor based on productivity, then why do large gender disparities exist? While evidence indicates that gender disparities exist after controlling for all the relevant demographic variables, it is likely that the reason for the existence of these disparities lies in the nature of the institutions that govern hiring practices and career advancement.

This does not mean that the markets fail to price labor appropriately within a particular role, but rather that the markets provide limited access to roles that have high returns. The primary failure of the markets is not in terms of wage setting for individuals employed in any given role, but rather the lack of access to the high-return roles themselves.

For financial institutions, the misallocation of human capital results in poor capital allocation decisions. A lack of strategic diversity occurs when a homogeneous leadership team leads to a lack of diverse perspectives. Therefore, the gender inequality issue in the workplace is not only a moral issue but a major economic issue.

Conclusion

I have observed that many of the obstacles that women encounter when pursuing careers in finance are not always explicitly stated. Many of the barriers are implicit and reside in the norms of the industry. The discussion surrounding the gender pay gap should focus on whether the institutional systems reward availability and continued service over productivity and continued competence.

Disregarding gender inequality is not an ideological stance; it is an economic decision. Capital markets operate best when assets are allocated optimally. When half of the available talent is impeded by systemic obstacles, inefficiencies build upon each other.

Occupational segregation, non-linear compensation structures, promotion patterns, and the motherhood penalty cause the gender pay gap. The non-linear aspects of business include the use of bonuses, carried interest, and equity compensation to compensate employees. Therefore, the root cause of the gender pay gap is that the markets are embedded in this institution, and the institutional growth is rooted in whether the market effectively calculates its inefficiencies and realizes the transformation needed today.

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